

property rights, and (3) damages. (*Burlesci v. Petersen* (1998) 68 Cal.App.4th 1062, 1066.) “Conversion” consists of any act of dominion wrongfully exercised over personal property of another inconsistent with, or in denial of, his rights thereto. (*Zaslow v. Kroenert* (1946) 29 Cal.2d 541.) Here, the FAC sufficiently states a cause of action for conversion for the same reasons as sufficiently pleading constructive fraud. **OVERRULED.**

#### 4<sup>th</sup> Cause of Action for Violation of Penal Code Section 496

Section 496 extends to property “that has been obtained in any manner constituting theft.” Penal Code § 484 describes acts constituting theft, and states, in part: “Every person who shall feloniously steal, take, carry, lead, or drive away the personal property of another, or who shall fraudulently appropriate property which has been entrusted to him or her, or who shall knowingly and designedly, by any false or fraudulent representation or pretense, defraud any other person of money, labor or real or personal property, or who causes or procures others to report falsely of his or her wealth or mercantile character and by thus imposing upon any person, obtains credit and thereby fraudulently gets or obtains possession of money, or property or obtains the labor or service of another, is guilty of theft.” (Penal Code § 484(a).) Thus, §484 defines theft to include theft by false pretenses. (*Bell v. Feibush* (2013) 212 Cal.App.4th 1041, 1048 (defendant used false pretenses to induce a loan of \$202,500 and judgment in civil court was issued against him for breach of contract, fraud and treble damages pursuant to § 496(c).) Here, the FAC sufficiently states a cause of action for a violation of Penal Code section 496 in the exact amount of \$639,940.00. **OVERRULED.**

#### **5.**

| <b>CASE #</b> | <b>CASE NAME</b>                                                     | <b>HEARING NAME</b>                                                                                                                  |
|---------------|----------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|
| CVPS2601066   | DOUBLE EYE, LLC., A CALIFORNIA LIMITED LIABILITY COMPANY VS GOTTLIEB | MOTION TO STRIKE 1ST AMENDED COMPLAINT OF DOUBLE EYE, LLC, BY WAYNE A. GOTTLIEB, GOTTLIEB INCOME TAX SERVICES, A SOLE PROPRIETORSHIP |

**Tentative Ruling:** Denied.

Responding party to provide notice pursuant to CCP 1019.5.

This is a fraud action filed February 3, 2026 by Plaintiff Double Eye, LLC against Defendants Wayne Gottlieb and Gottlieb Income Tax Services alleging 8 causes of action for 1) fraud/intentional misrepresentation, 2) constructive fraud, 3) breach of fiduciary duty, 4) conversion, 5) violation of Penal Code section 496, 6) common count, 7) restitution/unjust enrichment, and 8) accounting. Thereafter on May 12, 2026, Double Eye filed as a matter of right a First Amended Complaint realleging the same 8 causes of action.

Defendants move to strike the following portions of the FAC:

1. Page 6, lines 26-27: “30. GOTTLIEB acted with oppression, fraud, and malice, entitling Plaintiff to punitive damages pursuant to Civil Code section 3294;”
2. Page 9, line 14, Prayer, ¶2 “for treble damages pursuant to Penal Code section 496;”
3. Page 9, lines 15, Prayer ¶3: “for Punitive and exemplary damages.”
4. Page 9, lines 16, Prayer ¶4: “[...] restitution [...]”
5. Page 9, line 18, Prayer ¶6: “[...] attorneys fees [...]”

### Motion to Strike

C.C.P. §436(a) provides that a court may “[s]trike out any irrelevant, false, or improper matter inserted in any pleading.” In ruling on a motion to strike, the allegations in the complaint are considered in context and presumed to be true. (*Clauson v. Sup. Ct. (Pedus Services, Inc.)* (1998) 67 Cal.App.4th 1253, 1255.) The same liberal policy regarding amendment of pleadings applies as on sustaining demurrers. Therefore, as long as the defect is correctible, an amended pleading will usually be allowed. (C.C.P. §576; *Grieves v. Sup. Ct. (Fox)* (1984) 157 Cal.App.3d 159, 168; *Price v. Dames & Moore* (2001) 92 Cal.App.4th 355, 360.)

Irrelevant matter includes allegations that are not essential to the claim; “neither pertinent to nor supported by an otherwise sufficient claim”; or requesting relief not supported by the allegation of the complaint.” (C.C.P. §431.10(b).) “False” matters must appear on the face of the pleadings or from matters judicially noticed. (*Garcia v. Sterling* (1985) 176 Cal.App.3d 17, 21.) Improper matters include legal conclusion, conclusory allegations unsupported by facts and improper demands and substantive defects in a portion of a claim.

Request 1 - This relates to the 1<sup>st</sup> cause of action, which was sustained, with leave to amend; therefore, this request is MOOT.

Requests 2, 4 and 5 - These requests are supported by the 5<sup>th</sup> cause of action for a violation of Penal Code 496. DENIED.

Request 3 - This is a request for punitive damages. A motion to strike lies where the facts alleged in a pleading do not rise to the level of “malice, fraud or oppression” required to support a punitive damages claim. (*Turman vs. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 63.) C.C. §3294 provides that exemplary damages are allowable where the defendant is guilty of malice, oppression or fraud. “‘Malice’ means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (C.C. §3294(a)(1).) “‘Oppression’ means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (C.C. §3294(a)(2).) “‘Fraud’ means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (C.C. §3294(a)(3).) Here, the FAC sufficiently states a basis for fraud sufficient to support a prayer for relief for punitive or exemplary damages as to 2<sup>nd</sup> cause of action. DENIED.